Kashmir dispute to third parties such as the United Nations. In addition, they believed that the language of the agreement did not foreclose future discussion of the Kashmir issue. Indeed, according to the Pakistanis, the agreement expressly envisioned India and Pakistan revisiting the Kashmir dispute at a later date. Thus the Pakistanis did not view Simla as being completely inimical to their interests.[27] Most importantly, following their crushing defeat in Bangladesh, the Pakistanis lacked the military wherewithal to challenge the Indians in Kashmir or elsewhere in the region. India and Pakistan did not fight another war for twenty-eight years.[28]

Despite the relative calm that prevailed in the wake of the Bangladesh war, Kashmir remained a serious, unresolved issue. Neither India nor Pakistan relinquished its claim to the territory. And over time the Kashmiri people became increasingly dissatisfied with Indian rule. During the 1965 war, Kashmiris were unwilling to take up arms against India, even when Pakistan offered them the opportunity to do so. But over the coming decades, Kashmiris' frustrations mounted, finally coming to a head with the outbreak of a violent insurgency in 1989.

The discontent resulted from a combination of political mobilization and institutional decay within Kashmir. The policies of both the Kashmiri National Conference and the Indian central government resulted in a proliferation of educational institutions, increased literacy rates, and greater access to mass media in Kashmir.[29] The Kashmiri population became far more politically sophisticated than it had been previously. Even as this was occurring, however, Kashmiri politics became increasingly deinstitutionalized, thereby reducing opportunities for legitimate political activity. In Kashmir, the National Conference monopolized power, preventing the emergence of any political opposition in the territory. And the Indian government dealt with Kashmir in an authoritarian manner, dismissing duly elected Kashmiri leaders, implementing heavy-handed antiterrorism laws, and centralizing power in New Delhi. When the National Conference conspired with the Indian government to fix the 1987 Kashmiri state assembly elections, Kashmiris were outraged, and the territory began its slide into violence. Demonstrations, strikes, and attacks against government targets erupted in 1988 and became more